

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Cami Sykes | March 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile as a married-filing-jointly household in Florida with W-2 income of \$200,000–\$299,000. Based on your stated goals of reducing tax liability by \$40,000 and building short-term rental cash flow to replace W-2 income within four years, this snapshot models strategies across tax optimization, investment positioning, and real estate acquisition.

Using 2026 IRS limits (per Rev. Proc. 2025-32) and your indicated risk tolerance (moderate) and capital availability, this snapshot models potential first-year value ranging from **\$77,126** (conservative scenario) to **\$279,877** (aggressive scenario including real estate acquisition). Implementation of any strategy should be verified with your CPA and licensed financial advisor.

CONSERVATIVE SCENARIO

\$77,126

AGGRESSIVE SCENARIO

\$279,877

Section 3 — Current Financial Position

Profile Summary

Filing Status	Married Filing Jointly
Age	49 (no catch-up contributions eligible for 2026; eligible at 50 in 2027)
Dependents	0
State	Florida — 0% state income tax
Household Income	\$200,000–\$299,000
W-2 Income	\$150,000–\$199,000
Employment	W-2 employee; interested in side business but not yet established
Business Entity	None yet — planning to establish
Estimated Marginal Rate	24% federal + 0% FL = 24%

Assets & Capital

Liquid Capital (Portfolio)	\$500,000+
Comfortable Deploying	\$25,000–\$50,000
Home Value	\$1,500,000 (significant equity, \$100K+)
Monthly Mortgage	~\$4,000
Other Debt	Mortgage only
Credit Score	720–759
Emergency Fund	6+ months
Existing IRA	Taxable traditional IRA (balance unspecified)

Current Retirement & Tax Position

401(k)	Currently maxing at \$23,500 (2025); update to \$24,500 for 2026
HSA	Currently maxing out
Backdoor Roth	Aware of concept but not yet utilizing
Solo 401(k)	N/A — no self-employment income yet
Tax Deductions Used	Home office (aware), vehicle/mileage (aware)
Tax Overpayment	\$5,800 refund (potential over-withholding)
Charitable Giving	\$10,000–\$24,000

Goals & Intentions

Primary Goal	Reduce tax liability by ~\$40,000; build STR cash flow of \$25K/mo to replace W-2 within 4 years
Real Estate Interest	Yes — Arbitrage (lease + furnish) and Ownership (down payment + financing)
Risk Tolerance	Moderate (balanced growth and stability)
Time Available	5–10 hours/week
Time Horizon	Short-term implementation (31–90 days)
Side Interests	Woodworking/furniture rehab (NOT as a side business)
Business Assets Available	Vehicle, home office, camera/video equipment, computer/tech, tools

⚠️ Pro-Rata IRA Alert: Your existing traditional IRA balance creates a pro-rata issue for backdoor Roth conversions. Before executing any backdoor Roth strategy, discuss with your CPA whether rolling the traditional IRA into your employer's 401(k) plan is possible. This must be resolved before backdoor Roth contributions for 2025 or 2026.

Section 4 — Timeline Awareness & Implementation Considerations (2026)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

TIMING	CONSIDERATION
Week 1	Pro-Rata IRA Resolution: Meet with CPA to evaluate traditional IRA balance. Discuss whether employer 401(k) accepts incoming rollovers to clear the pro-rata issue before any 2025 or 2026 backdoor Roth contributions. Payroll Updates: Contact HR to increase 2026 401(k) deferral to \$24,500 and confirm HSA contribution is set to \$8,750 (2026 family limit).
Week 2	LLC Formation Consultation: Discuss FL operating LLC + WY holding LLC structure with a business attorney. Obtain EIN for operating entity. Open a dedicated business bank account. This structure unlocks Augusta Rule, home office, vehicle, and equipment deductions. W-4 Review: Discuss adjusting W-4 withholding with CPA — current \$5,800 refund suggests potential over-withholding of ~\$480/month.
Week 3	STR Market Research: Begin AirDNA analysis for target markets. Evaluate both arbitrage (lower capital, faster start) and acquisition (higher ROI, cost seg benefits) models. Discuss business credit building timeline with advisor. Documentation Setup: Establish mileage tracking system (MileIQ or similar). Measure and photograph dedicated home office space. Catalog business-use equipment (camera, computer, tools).
Week 4	Property Pipeline: Begin evaluating arbitrage lease opportunities and/or acquisition targets based on AirDNA data. Discuss Augusta Rule documentation requirements with CPA (fair market rent analysis for \$1.5M home). Professional Team Assembly: Confirm CPA experienced with STR tax strategies and cost segregation. Consider real-estate-focused attorney for property acquisition.

Section 4.5 — 2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

STRATEGY	2025 LIMIT	DEADLINE	YOUR OPPORTUNITY
Traditional / Roth IRA	\$7,000 (age 49 — no catch-up)	April 15, 2026	⚠️ Pro-rata issue must be resolved first. Discuss with CPA before contributing. Potential: \$7,000 × 2 spouses = \$14,000.
HSA (family)	\$8,550 (age 49 — no catch-up)	April 15, 2026	Confirm full \$8,550 was contributed for 2025. If not, top up before April 15.

Not Applicable for 2025: Solo 401(k) and SEP IRA — no self-employment income in 2025.

No Longer Available for 2025: 401(k) employee deferrals (Dec 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

Section 5 — 2026 Tax Optimization Strategies to Explore

Strategy Concept: 401(k) Maximization (2026 Limit Update)

Potential Tax Savings: \$5,880

What It Is: The 2026 employee deferral limit increases to \$24,500 (up from \$23,500 in 2025). Since you are already maxing your 401(k), this is a payroll update to capture an additional \$1,000 in pre-tax deferral. Total tax-deferred contribution: $\$24,500 \times 24\% = \$5,880$ in potential tax savings.

How It Works:

1. Contact HR/payroll to update 2026 deferral election to \$24,500
2. Confirm employer match structure is not affected by the change
3. Note: At age 49, no catch-up contribution is available until 2027 (age 50)

Eligibility Criteria: Active participation in employer 401(k) plan. No age restriction on base deferral.

Verify 2026 deferral limit with your plan administrator. 2026 limit: \$24,500. Catch-up at age 50 (2027): +\$8,000.

Strategy Concept: HSA Maximization (Family Coverage)

Potential Tax Savings: \$2,100

What It Is: The 2026 HSA family limit increases to \$8,750 (up from \$8,550 in 2025). HSA contributions are triple-tax-advantaged: deductible going in, grow tax-free, and are tax-free for qualified medical expenses. At 24% marginal rate: $\$8,750 \times 24\% = \$2,100$ potential tax savings.

How It Works:

1. Update payroll HSA contribution to \$8,750 for 2026 (\$729.17/month)
2. Requires enrollment in a High-Deductible Health Plan (HDHP)
3. Contributions through payroll also avoid FICA taxes (additional ~7.65% savings)

Eligibility Criteria: HDHP enrollment, not enrolled in Medicare, not claimed as dependent.

Verify HDHP enrollment status and 2026 HSA limit with your benefits administrator. 2026 family limit: \$8,750. No catch-up until age 55.

Strategy Concept: Backdoor Roth IRA (Both Spouses)

Potential Wealth Positioned: \$15,000 (tax-free growth)

What It Is: At your income level, direct Roth IRA contributions are phased out. The "backdoor" method involves contributing to a non-deductible traditional IRA and immediately converting to Roth. 2026 limit: \$7,500 per person × 2 spouses = \$15,000 into tax-free growth accounts.

How It Works:

1. Contribute \$7,500 to non-deductible traditional IRA
2. Convert to Roth IRA (minimal or no tax if no existing traditional IRA balance)
3. Repeat for spouse

Eligibility Criteria: Earned income for both spouses. No income limit for backdoor method.

 **CRITICAL — Pro-Rata Rule:** Your existing traditional IRA with a balance means conversions will be partially taxable. Before executing this strategy, discuss with your CPA whether your employer's 401(k) accepts incoming rollovers to eliminate the traditional IRA balance. Do not proceed without CPA guidance.

Verify pro-rata implications and conversion timing with your CPA. 2026 IRA limit: \$7,500 per person. No catch-up at age 49.

Strategy Concept: Augusta Rule (IRC §280A — 14-Day Rental)

Potential Value: \$1,680–\$3,360 tax savings + \$7,000–\$14,000 tax-free income

What It Is: A homeowner may rent their personal residence to their own business for up to 14 days per year. The rental income is tax-free to the homeowner; the business deducts it as rent expense. With a \$1.5M home in Florida, fair market daily rental value may support \$500–\$1,000/day.

How It Works:

1. Establish business entity (LLC) — required for the business to be the renter
2. Obtain fair market rent analysis (comparable Airbnb/VRBO rates for your area)
3. Rent home to business for legitimate business meetings/events (14 days max)
4. Document each rental day with meeting agenda, attendee list, signed rental agreement

Eligibility Criteria: Must own the home, have an active business, and rent for bona fide business purposes. Requires supporting documentation. The 14-day limit is a hard cap under IRC §280A — no more than 14 rental days per year.

Verify FMV documentation requirements with your CPA. This strategy requires an active business entity. 2026 rules unchanged.

Strategy Concept: Home Office Deduction

Potential Tax Savings: \$360–\$1,200

What It Is: A dedicated home office used regularly and exclusively for business allows deduction of a proportional share of housing costs. Simplified method: \$5/sq ft × up to 300 sq ft = \$1,500 max. Regular method may be higher based on actual expenses (mortgage interest, insurance, utilities) × business-use percentage.

How It Works:

1. Designate a room used exclusively and regularly for business
2. Measure square footage; calculate percentage of total home
3. Choose simplified (\$5/sq ft, max \$1,500) or regular method (actual costs × %)

Eligibility Criteria: Requires active business (not available for W-2 employees under current law). Space must be exclusive and regular business use.

This deduction requires an active business. Not available for W-2 employees since TCJA (2018). Discuss setup with your CPA.

Strategy Concept: Vehicle Expense Deduction (Business Mileage)

Potential Tax Savings: \$522–\$1,392

What It Is: Business-use vehicle mileage is deductible at 72.5¢/mile for 2026. Driving to view STR properties, meet contractors, attend networking events, and run business errands all qualify. At 3,000–8,000 business miles: \$2,175–\$5,800 deduction $\times$ 24% = \$522–\$1,392 potential tax savings.

How It Works:

1. Install mileage tracking app (MileIQ, Everlance, or similar) — log every business trip
2. Maintain a log with date, destination, business purpose, and miles for each trip
3. Choose standard mileage (72.5¢/mile) or actual expense method at tax time

Eligibility Criteria: Active business with business-purpose driving. Commuting to a regular office does not qualify.

Mileage tracking must be contemporaneous (logged at time of travel, not reconstructed later). 2026 rate: 72.5¢/mile. Verify with CPA.

Strategy Concept: Section 179 / Equipment Expensing

Potential Tax Savings: \$720–\$1,920

What It Is: Business-use equipment may be deducted in the year placed in service rather than depreciated over multiple years. Under the One Big Beautiful Bill Act (OBBBA), the Section 179 maximum deduction has been expanded to \$2,500,000 (phase-out at \$4,000,000) for taxable years beginning after December 31, 2024. You indicated ownership of camera/video equipment, computer/tech, and tools — all potentially convertible to business assets at fair market value when business is established.

How It Works:

1. Document current fair market value of each asset at time of business conversion
2. Photograph each item and maintain a log with purchase date, original cost, and FMV
3. Deduct FMV as Section 179 expense in first year of business use (\$3,000–\$8,000 estimated range)

Eligibility Criteria: Assets must be used >50% for business. Active business required.

Asset valuation and conversion documentation must be reviewed by your CPA. Equipment must meet business-use percentage tests. 2026 Section 179 limit: \$2,500,000 (OBBBA).

Strategy Concept: STR + Cost Segregation (Aggressive Scenario Only)

Potential Tax Savings: ~\$28,000 (Year 1, aggressive only)

What It Is: Cost segregation is an engineering-based study that reclassifies building components into shorter depreciation schedules (5, 7, and 15 years instead of 27.5 or 39). Under the One Big Beautiful Bill Act (OBBBA), signed July 4, 2025, **100% bonus depreciation has been permanently restored** for qualified property acquired and placed in service after January 19, 2025. This allows front-loading a significant portion of the building's depreciable basis as a Year 1 deduction.

How It Works (Cost Segregation Methodology):

1. Acquire STR property (\$350,000–\$400,000 range)
2. Determine depreciable basis: Purchase price minus land value (typically ~20%). On a \$375,000 property: $\$375,000 - \$75,000 \text{ land} = \text{\$300,000 building basis}$
3. Commission cost segregation study (\$5,000–\$8,000 typical cost) — study reclassifies approximately 25–40% of building basis to shorter-lived property
4. Apply 100% bonus depreciation (OBBBA) to reclassified components: $\sim\$300,000 \times 37\% = \sim\$111,000$ at 100% bonus depreciation
5. Remaining building basis depreciates straight-line: $\sim\$189,000 / 27.5 = \sim\$6,873$ Year 1
6. Total Year 1 depreciation: $\sim\$117,873$. At 24% marginal rate: $\sim\$117,873 \times 24\% = \sim\$28,000$ potential tax savings

Eligibility Criteria: Property ownership, STR with average stay ≤ 7 days, material participation documentation, cost seg study by qualified engineering firm. Property must be acquired after January 19, 2025 to qualify for 100% bonus depreciation under OBBBA.

Real estate tax strategies have specific documentation and participation requirements. Work with a qualified tax professional to ensure compliance. Cost segregation studies must be performed by a qualified engineering firm. Property acquired on or before January 19, 2025 remains subject to TCJA phase-down rates.

W-4 Optimization Note

Your 2025 tax refund of \$5,800 suggests over-withholding of approximately \$483/month. Adjusting your W-4 could increase monthly take-home pay by \$200–\$400 (conservative) or more. Discuss with your CPA to align withholding with actual liability — especially as new business deductions come online. Potential annual cash flow improvement: \$2,400–\$4,800.

Section 6 — Primary Strategy Education: STR Business & Entity Structure

Based on your goals — replacing W-2 income within 4 years through STR cash flow — the foundational strategy involves establishing a business entity structure and launching an STR operation. This section provides educational context on the two approaches you indicated interest in.

Entity Structure: Holding LLC + Operating LLC

COMPONENT	PURPOSE	JURISDICTION
Holding LLC	Asset protection umbrella; owns operating LLCs	Wyoming (indicated as already set up)
Operating LLC (per property/market)	Holds lease agreements (arbitrage) or property title (ownership)	Florida (state of operation)
Business Bank Account	Separate finances; business credit building foundation	Linked to operating LLC EIN

Entity structure should be reviewed by a qualified attorney. State-specific filing requirements, annual reports, and registered agent obligations vary. Discuss with your legal counsel.

Approach A: STR Arbitrage (Lower Capital Entry)

FACTOR	DETAIL
Capital Required	\$5,000–\$15,000 per unit (security deposit, furnishing, setup)
Revenue Model	Lease long-term at \$X/month; rent short-term at \$X/night (spread = profit)
Timeline to Cash Flow	30–60 days from lease signing to first guest
Tools	AirDNA for market analysis; PriceLabs for dynamic pricing
Risk Profile	Lower capital at risk; dependent on landlord permission and local STR regulations
Tax Implications	Business income on Schedule C; eligible for home office, vehicle, equipment deductions

Approach B: STR Ownership (Higher ROI + Tax Benefits)

FACTOR	DETAIL
Capital Required	\$70,000–\$80,000 down payment (20% on \$350K–\$400K property)
Revenue Model	Gross rental income minus mortgage, management, expenses = NOI
Tax Advantages	Cost segregation (100% bonus dep under OBBBA), mortgage interest, property tax deductions
Wealth Building	Equity appreciation + mortgage paydown + cash flow
Risk Profile	Higher capital commitment; market, vacancy, and maintenance risk
Note on IRA Funds	Using traditional IRA funds for down payment triggers ordinary income tax on withdrawal. Model this tax cost with CPA before proceeding.

Real estate investment involves significant risk including potential loss of capital. Market conditions, occupancy rates, and expenses vary. Consult with a licensed real estate professional and your CPA before acquiring property or signing leases.

Business Credit Building (Per Your Request)

Business credit is typically built in stages: (1) establish EIN and business bank account, (2) obtain a business credit card (secured if needed), (3) establish vendor accounts that report to business credit bureaus (Dun & Bradstreet, Experian Business), (4) maintain on-time payments to build a Paydex score. Discuss sequencing with your financial advisor — business credit can support property acquisition and operational scaling without relying solely on personal credit.

Section 7 — Illustrative Portfolio Scenario

Educational Investment Scenario (Based on Profile Analysis)

Based on your moderate risk tolerance, goals combining growth and cash flow replacement, 5–10 hours/week availability, and \$25,000–\$50,000 comfortable deployment, this scenario models a balanced approach emphasizing both accumulation and passive income generation.

ASSET CLASS	SCENARIO %	CONSERVATIVE (\$37,500)	AGGRESSIVE (\$100,000)	EDUCATIONAL RATIONALE
Bitcoin	50% / 60%	\$18,750	\$60,000	Bitcoin serves as a core wealth accumulation vehicle due to its fixed 21M supply and increasing institutional adoption. Moderate profile supports 50–60% allocation for growth.
STRC	30% / 25%	\$11,250	\$25,000	STRC is commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10–12% annual yield. Serves your stated cash flow priority.
VTI / VOO	20% / 15%	\$7,500	\$15,000	VTI/VOO provide broad U.S. equity exposure at low cost (0.03% expense ratio). Stability anchor appropriate for moderate risk profile.

This scenario models one approach based on the moderate risk tolerance and growth-plus-cash-flow goals indicated. Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation. Verify current STRC yield at time of investment; historical yields are not

guaranteed. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative.

Section 8 — Modeled First-Year Value Summary (2026 Tax Year)

Capital Basis: Conservative = \$37,500 (midpoint of comfortable deployment) | Aggressive = \$100,000 (expanded via IRA access — withdrawal taxes apply, model with CPA)

CATEGORY	ITEM	CONSERVATIVE	AGGRESSIVE	NOTES
CATEGORY A: TAX OPTIMIZATION				
Tax	W-2 401(k) (\$24,500 × 24%)	\$5,880	\$5,880	2026 limit; no catch-up at age 49
Tax	HSA Family (\$8,750 × 24%)	\$2,100	\$2,100	2026 family limit; no catch-up at 49
Tax	Augusta Rule (14 days × \$500 × 24% / 14 days × \$1,000 × 24%)	\$1,680	\$3,360	Based on \$1.5M home FMV; 14-day maximum per IRC §280A
Tax	Home Office (\$1,500 simplified × 24% / \$5,000 regular × 24%)	\$360	\$1,200	Requires active business + dedicated space
Tax	Vehicle (3,000 mi × 72.5¢ × 24% / 8,000 mi × 72.5¢ × 24%)	\$522	\$1,392	2026 mileage rate: 72.5¢/mile
Tax	Section 179 Equipment (\$3,000 × 24% / \$8,000 × 24%)	\$720	\$1,920	Camera, computer, tools at FMV
Tax	STR + Cost Segregation (100% bonus dep, OBBBA)	\$0	\$28,000	\$375K property; building basis \$300K; ~37% reclassified; aggressive only
Tax Optimization Subtotal		\$11,262	\$43,852	
CATEGORY B: INVESTMENT INCOME (YIELD / DIVIDENDS)				
Income	STRC Yield (\$11,250 × 10% / \$25,000 × 12%)	\$1,125	\$3,000	Verify current yield at time of investment

Income	ETF Dividends ($\$7,500 \times 1.5\%$ / $\$15,000 \times 2\%$)	\$113	\$300	VTI/VOO dividend yields approximate
Investment Income Subtotal		\$1,238	\$3,300	
CATEGORY C: INVESTMENT APPRECIATION (PROJECTED GROWTH)				
Growth	Bitcoin ($\$18,750 \times 25\%$ / $\$60,000 \times 50\%$)	\$4,688	\$30,000	Highly volatile; not guaranteed
Growth	STRC ($\$11,250 \times 15\%$ / $\$25,000 \times 30\%$)	\$1,688	\$7,500	Bitcoin-correlated appreciation
Growth	VTI/VOO ($\$7,500 \times 8\%$ / $\$15,000 \times 12\%$)	\$600	\$1,800	Historical average; not guaranteed
Appreciation Subtotal		\$6,976	\$39,300	
CATEGORY D: REAL ESTATE (AGGRESSIVE ONLY — ARBITRAGE + OWNERSHIP INTEREST INDICATED)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (~4.5% of \$375K)	\$0	\$16,875	Market conditions vary significantly
RE	Mortgage Principal Paydown (Year 1)	\$0	\$4,500	Equity build from amortization
Real Estate Subtotal		\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization (~\$200–\$400/mo $\times$ 12)	\$2,400	\$4,800	Reduce over- withholding; verify with CPA

Cash Flow Subtotal		\$2,400	\$4,800	
CATEGORY F: WEALTH BUILDING (DOLLARS POSITIONED)				
Wealth	401(k) Contributions (2026)	\$24,500	\$24,500	\$24,500 base; no catch-up at age 49
Wealth	HSA Contributions (2026)	\$8,750	\$8,750	\$8,750 family; no catch-up at age 49
Wealth	Backdoor Roth IRA (both spouses)	\$15,000	\$15,000	\$7,500 × 2; ⚠️ resolve pro-rata first
Wealth	Augusta Rule Income Received	\$7,000	\$14,000	Tax-free to household (under 14-day rule)
Wealth	RE Equity Position (down payment)	\$0	\$75,000	20% down on ~\$375K property
Wealth Building Subtotal		\$55,250	\$137,250	
TOTAL MODELED FIRST-YEAR VALUE (2026)		\$77,126	\$279,877	

Understanding This Summary

Categories A–B: Represent modeled tax savings and investment income — recurring annual value.

Category C: Represents projected asset appreciation — unrealized until sold; highly variable and not guaranteed.

Category D: Represents real estate returns — included only in aggressive scenario; dependent on property selection, occupancy, and market conditions.

Category E: Represents improved monthly cash flow from reduced over-withholding.

Category F: Represents dollars moved into wealth-building positions (retirement accounts, tax-free income, equity). These are not "returns" — they are capital repositioned for long-term growth.

Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed — past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits per Rev. Proc. 2025-32 and incorporate OBBBA provisions (signed July 4, 2025); verify with your CPA. Consult with your licensed professionals before implementation.

Section 9 — Calendar Awareness & Key Dates (2026)

DATE	CONSIDERATION	RELEVANCE
April 15, 2026	Last day for 2025 IRA and HSA contributions	Confirm 2025 HSA is fully funded; resolve pro-rata before 2025 IRA
April 15, 2026	2025 tax filing deadline	Review 2025 return for optimization opportunities with CPA
Q2 2026	LLC formation and EIN acquisition	Unlocks Augusta Rule, home office, vehicle, equipment strategies
Q2–Q3 2026	STR property research and acquisition/lease signing	Earlier acquisition = more 2026 income and deductions captured
Q3 2026	Cost segregation study (if property acquired)	Must be completed before 2026 tax filing for Year 1 benefit
October 15, 2026	Extended 2025 tax filing deadline	If 2025 return is extended, Solo 401(k) employer contributions remain open
December 31, 2026	401(k) employee deferral deadline for 2026	Confirm \$24,500 will be reached by year-end
December 31, 2026	Augusta Rule — all 14 rental days must occur by year-end	Schedule and document business rental events throughout the year
April 15, 2027	Last day for 2026 IRA and HSA contributions	If not fully funded during 2026, can complete before this date

Verify all deadlines with your tax professional. Deadlines may shift if they fall on weekends or holidays.

Section 10 — Questions for Your Professional Team

Questions for Your CPA

→ "Can I roll my traditional IRA into my employer's 401(k) to eliminate the pro-rata issue before executing backdoor Roth?"

→ "Based on my income and age (49), what are my maximum 2026 retirement contributions across all accounts?"

→ "If I establish an LLC this year, which deductions (home office, vehicle, equipment) can I take for 2026?"

→ "What documentation do I need for the Augusta Rule? Can you help me establish fair market rental value for my home?"

→ "If I acquire an STR property, what are the material participation requirements for the short-term rental exception?"

→ "Should I adjust my W-4 given the \$5,800 refund and new business deductions coming online?"

→ "If I withdraw from my traditional IRA for a property down payment, what is the estimated tax impact?"

→ "Will I need to make quarterly estimated tax payments for business income in 2026?"

→ "How does the OBBBA's permanent 100% bonus depreciation affect cost segregation timing and strategy for an STR acquisition this year?"

Questions for Your Attorney

→ "What is the optimal LLC structure for my STR business — WY holding (already set up) + FL operating LLCs?"

→ "What are the annual compliance requirements (annual reports, registered agent) for both WY and FL entities?"

→ "For arbitrage: what lease provisions do I need to ensure I can legally sublet as a short-term rental?"

→ "What local STR regulations apply in my target markets?"

Questions for Your Financial Advisor

→ "How does a 50–60% Bitcoin allocation align with my moderate risk profile and 4-year timeline?"

→ "What is the current STRC yield, and how does it compare to other income-generating alternatives?"

→ "Given my traditional IRA balance, what is the most tax-efficient way to access capital for real estate?"

→ "How should I sequence capital deployment between investments and real estate down payment?"

Section 11 — Professional Team Considerations

PROFESSIONAL	ROLE IN THIS STRATEGY	KEY QUALIFICATION
CPA / Tax Strategist	Tax strategy verification, contribution limits, Augusta Rule documentation, cost segregation coordination, quarterly estimates	Experience with STR tax strategies, cost segregation, and real estate investor clients
Business / RE Attorney	LLC formation, operating agreements, lease review (arbitrage), property acquisition contracts, local STR regulation compliance	Experience with multi-entity structures and short-term rental regulations
Financial Advisor (RIA)	Investment implementation, portfolio construction, IRA rollover strategy, risk assessment	Registered Investment Adviser; fiduciary standard; experience with alternative assets
Insurance Professional	STR property insurance, umbrella liability policy, business insurance	Experience with short-term rental properties and LLC-owned assets

You indicated you currently work with a financial advisor/wealth manager. Discuss this snapshot with them to evaluate alignment with your broader financial plan.

Section 12 — Review Milestones & Checkpoints

TIMEFRAME	MILESTONE	DISCUSSION POINT
30 Days	Foundation	Pro-rata IRA decision made; LLC formation initiated; payroll updated to 2026 limits; W-4 reviewed
60 Days	Business Launch	LLC active with EIN and bank account; AirDNA research complete; first arbitrage lease or purchase offer in progress
90 Days	First Revenue	First STR property listed and generating bookings; Augusta Rule first rental day documented; mileage tracking active
6 Months	Mid-Year Review	Review YTD tax position with CPA; evaluate STR performance; assess whether aggressive scenario targets are tracking; review investment portfolio allocation
12 Months	Year-End Review	Confirm all 2026 contributions maximized; Augusta Rule 14 days completed; cost seg study complete (if applicable); prepare 2026 tax strategy with CPA; plan 2027 strategies (catch-up eligible at age 50)

These milestones are suggested review points, not requirements. Adjust timing based on your professional team's guidance and personal circumstances.

Looking Ahead — Age 50 in 2027: In 2027 you become eligible for catch-up contributions: 401(k) +\$8,000, IRA +\$1,100. This adds approximately \$2,184 in potential annual tax savings (\$9,100 × 24%). Plan with your CPA to maximize these in your first eligible year. Note: If you earned \$150,000+ in FICA wages in 2026 from the same employer, your 2027 catch-up contributions must be designated as Roth (not pre-tax) under SECURE 2.0.

Section 13 — Educational Resources

2026 Contribution Limits Quick Reference

ACCOUNT TYPE	BASE LIMIT	CATCH-UP (50+)	SUPER CATCH-UP (60– 63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional / Roth IRA	\$7,500	+\$1,100	N/A

Business mileage rate for 2026: **72.5¢/mile**

Section 179 maximum deduction for 2026: **\$2,500,000** (OBBBA; phase-out at \$4,000,000)

Bonus depreciation for property acquired after Jan 19, 2025: **100%** (OBBBA; permanent)

Standard deduction (MFJ) for 2026: **\$32,200**

SECURE 2.0 Note: Beginning in 2026, if you earned \$150,000+ in FICA wages in the prior year from the same employer, any catch-up contributions must be designated as Roth (not pre-tax). This does not apply to you for 2026 (age 49, no catch-up eligible), but will apply starting 2027 when you turn 50 — discuss with your CPA.

Key IRS Publications (For Reference)

PUBLICATION	TOPIC
IRS Pub 587	Business Use of Your Home
IRS Pub 463	Travel, Gift, and Car Expenses
IRS Pub 946	How to Depreciate Property (Cost Segregation)
IRS Pub 590-A/B	IRA Contributions and Distributions
IRS Pub 969	Health Savings Accounts
IRS Pub 334	Tax Guide for Small Business

Important Disclaimers

Educational Purpose: This Wealth Strategy Snapshot is provided for educational and illustrative purposes only. It does not constitute individualized investment, tax, or legal advice.

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Not Tax Advice: Tax strategies discussed are educational explanations of how certain provisions work. Eligibility, implementation, and actual tax outcomes depend on your specific circumstances and must be verified by a qualified CPA or tax attorney before implementation.

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Investment Risk Disclosure: All investments involve risk. Bitcoin and cryptocurrency investments are highly volatile and speculative. Real estate investments carry risks including market fluctuations, vacancy, and unexpected expenses. You could lose some or all of your invested capital.

Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of March 2026 using 2026 IRS limits per Rev. Proc. 2025-32, incorporating One Big Beautiful Bill Act (OBBBA) provisions signed July 4, 2025. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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